

Micro and Small Enterprises Cluster Development Programme

DRAFT FOR REVIEW | SCHEME | D036

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MSE-CDP supports groups of micro and small enterprises through common facilities and industrial infrastructure. The shared investment should address a constraint that member businesses cannot efficiently solve alone, such as testing, a complementary production process or effluent treatment.

The May 2022 guidelines distinguish a Common Facility Centre from an Infrastructure Development project. They have different implementing arrangements and funding patterns. Selecting that component is the first step in building a proposal.

A common facility needs committed users

A CFC proposal should show the enterprises that will use it, the common need and demand for its services. The guidelines prescribe an SPV structure, normally a Section 8 company, along with membership and contribution requirements. Larger projects have different contribution and membership provisions.

A state industrial-infrastructure project has a different land and implementing-agency model. A private developer should not assume that the CFC rules make every industrial-estate investment eligible.

Funding is shared and project-specific

The programme divides eligible funding between the Government of India, the state and the SPV according to the component, project-cost band and specified location categories. There is no single universal MSE-CDP grant percentage. Projects above a notified ceiling do not automatically receive assistance on their entire cost.

Establish the proposed contributions before finalising the equipment budget. The grant cannot replace the members' commitment to operate the facility or the implementing agency's responsibilities for public funds and assets.

Prepare the business case for common use

The project report should include a credible demand assessment, technical scope, equipment capacity, land and tenure documents, cost estimates and financing. State and central appraisal stages examine the proposal through the prescribed process; project viability and documented member demand matter alongside formal registration.

The operating plan should identify professional management, staffing, user charges, utilities and maintenance. The guidelines address audit and conflicts involving suppliers or consultants, so procurement and governance arrangements need to be established from the outset.

After approval, keep expenditure, contributions, procurement and utilisation records aligned with the sanctioned project. A functioning centre that serves its intended users is the outcome, rather than

simply an installed set of machines.

Read the [May 2022 MSE-CDP guidelines](#) and [official scheme notices](#). Haryana's [Mini Cluster scheme](#) is a separate route with different SPV and project rules.

Discuss the next step

For help assessing the project and preparing the applicable subsidy work, see [Subsidy & Incentive Advisory](#).

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[Discuss your project](#). An expert consultant from Rapid will call you.

Source links

Links retained from this manuscript. Consult the referenced authority for current requirements; the PDF drafting date does not establish that a source remains current.

1. May 2022 MSE-CDP guidelines

<https://www.dcmsme.gov.in/schemes/6%20New-MSE-CDP%20Guidelines%20w.e.f%2024%20May%202022%20.pdf>

2. official scheme notices

https://dcmsme.gov.in/CLCS_TUS_Scheme/Cluster-Development-Programme/Scheme_Guideline.aspx